ing rent indefinitely. If you discuss the choice between renting and buying with financial advisors, you will be witness to spreadsheets which could show you merit in either of the decision that you take.

Buying a house is capital-intensive—you need money for down payment, registration and also factor in furnishing the house and any other expenses before moving in. In the case of renting, there is frequent change in homes, no sense of belonging in a house and frequent increase in rentals (see *Pros and Cons*). Going purely by numbers, that is comparing the EMI one would pay towards a home loan versus the surplus of EMI minus the rent that one would be left with to invest, chances are, over a 20-year period, the latter option would create more value than the purchased flat.

"A MAN WHO DOES NOT PLAN LONG AHEAD WILL FIND TROUBLE RIGHT AT HIS DOOR"
–Confucius

The interest cost of the loan can make one consider renting over buying. Yet, more people are owning homes because home loans have become easy and at the end of the day they feel secure in their own homes than living on rent. "I no more live in the flat I purchased because my spouse

BAD DECISION TRIGGERS

One often realises only late in life what effect an unwise decision taken when much younger has had. Beware these minefields as you chart your course

Correct decisions are often overlooked because we base them on factors that are not necessarily so in the first place. One way to reduce the risk of making bad financial decisions is to know the triggers that cause us to make them. Here are six factors that lead us into making bad financial decisions. Knowing them can help us do better in the future. Your aim should be to identify and excise the triggers that lead you to making wrong decisions.

1. LIMITED PERSPECTIVE

We like to see things in a way that is convenient to us. Think of the blind men and the elephant story—each blind man, because of his limited sense, feels a certain part of an elephant's body and interprets the animal differently. Our perspective of reality is very much the same as that of the blind men. There are numerous intelligent and smart individuals who fear investing in stock markets and even mutual funds because they fear that their investments would lose value.

However, these very same people do not see any risk in borrowing money. There is a lot of risk involved when borrowing, with interest rates going up and thereby increasing the cost of the loan. There is also the possibility of one not being able to repay the loan in time owing to many factors.

To prevent this, one should seek out multiple perspectives. It will also do good if you surround yourself with people who are different from you, ask them



questions, and listen to their thoughts. When you evaluate multiple perspectives, it's easy to find the areas of common agreement. Try and see the big picture and avoid making bad decisions based on limited information or understanding.

2. BIAS

Our biases mislead us. We have several forms of biases—cognitive, emotional, logical fallacies and many more. We make bad decisions because we are unaware of how our biases affect our rationale. The biases influence us, make us distort information to believe what we wish to. We tend to make wrong and frequent sub-optimal decisions because of the skewed reality.

The choice of putting money to use is often based on mental math and what comes to us easily. So, one tends to keep money in the bank because of the fixed and guaranteed interest it pays. The same goes for putting money in deposits and similar instruments. Objectivity on what would happen to the deposit when the tenure ends, taxation and even the interest it earns takes a backseat. Money in fixed deposit earns interest that is not necessarily tax-free. Likewise, the rate of return is an important parameter to compare two or more financial instruments.

Our bias towards guaranteed results makes us put money in an FD that pays, say, 6.5 per cent, without factoring the tax on the gains at 30 per cent, which reduces the effective rate of return



from the FD to 4.55 per cent. Now, if inflation is at 4 per cent, this deposit barely manages to retain its worth a year later. The way to overcome biases is to first learn about them and how they